

TAX EVADERS BEWARE!

► The income tax department uses several data to match the income and expenditure of taxpayers

► The datasets include not only income tax returns but also high-value purchases, TDS and TCS on specified goods, GST returns

► Tax information exchange agreements provide data on foreign assets of Indian taxpayers

► Returns are scrutinised using computer algorithms and data analytics that look for inconsistencies

► The department is also nudging taxpayers to file updated returns in case of mismatches

► Such measures have led to rising tax revenues with lower litigation, but experts and taxpayers complain of a high compliance burden

► Tax authorities are likely to depend more on data mining techniques to boost tax collection